

3.1 How markets work

Students will look at economic foundations such as the nature and purpose of economic activity, the factors of production and the importance of making choices. Students will also look at how resources are allocated using a market mechanism.

The central aspect will be an investigation of how prices are determined. This introduces students to concepts such as supply and demand, intermarket relationships and price elasticity.

Students investigate the significance of costs, revenue and profit for producers, leading to an understanding of the concepts of production, productivity and economies of scale. Students will then explore the importance of competition in relation to resource allocation, leading to an investigation of the factors that lead to market failure, with an emphasis on the significance of externalities.

Students should be encouraged to explore the moral, ethical and sustainability issues that underpin economic decision-making and economic activity.